



Apple Inc.

DCF Valuation & 3-Statement Model (Valuation date: 1/1/2026)

Prepared by: Bruno Heikkinen

1. Valuation summary & scenario analysis
2. Implied share price sensitivity analysis
3. Model inputs
4. 3-statement model
5. DCF model
6. Supporting schedules & calculations

Valuation summary & scenario analysis

Equity per share expressed in USD, all other figures in USD millions

Bull case

▼

Key valuation assumptions

WACC	8,82 %
Terminal growth	2,50 %
Terminal multiple	16,52x
Net debt	62 723
Shares outstanding	14 860

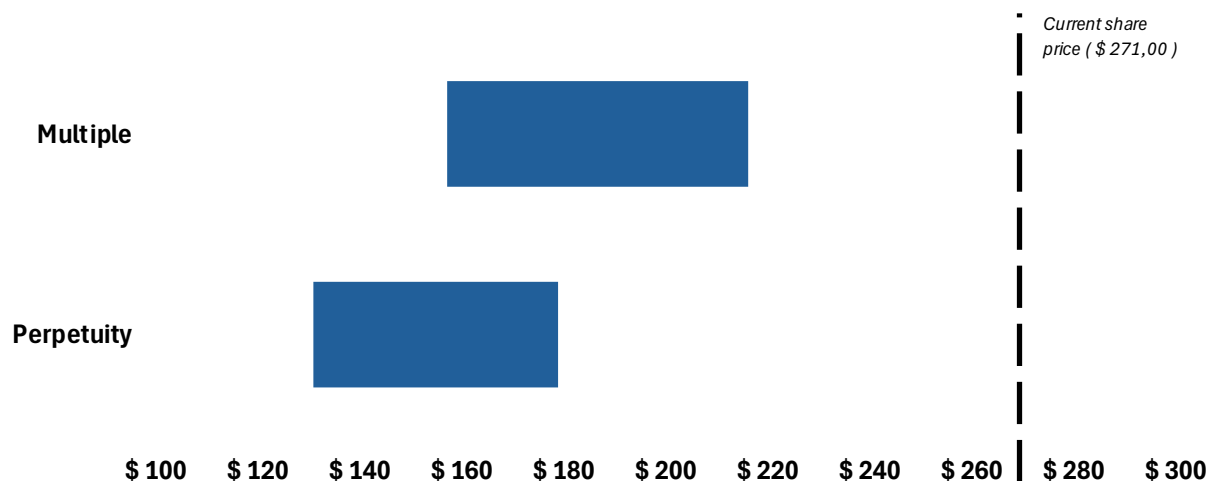
Perpetuity method

	Enterprise value	Equity value	Equity per share
Bear case	1 997 023	1 934 300	130,17
Base case	2 268 934	2 206 211	148,47
Bull case	2 710 541	2 647 818	178,18

Multiple method

	Enterprise value	Equity value	Equity per share
Bear case	2 388 103	2 325 380	156,49
Base case	2 723 236	2 660 513	179,04
Bull case	3 267 529	3 204 806	215,67

Implied Valuation Range – Football Field Chart



Implied share price sensitivity analysis

Bull case



Current share price **\$271,00**

BUY

SELL

Perpetuity method

		Terminal growth						
		1,00 %	1,50 %	2,00 %	2,50 %	3,00 %	3,50 %	4,00 %
WACC	5,82 %	253,92	279,08	310,82	352,12	408,06	488,12	612,17
	6,82 %	207,47	223,64	243,15	267,19	297,52	336,98	390,44
	7,82 %	174,72	185,82	198,83	214,28	232,94	255,92	284,91
	8,82 %	150,41	158,40	167,57	178,18	190,62	205,40	223,25
	9,82 %	131,67	137,63	144,36	152,01	160,78	170,93	182,84
	10,82 %	116,79	121,37	126,46	132,17	138,61	145,93	154,32
	11,82 %	104,70	108,29	112,25	116,63	121,51	126,98	133,15

Multiple method

		Terminal multiple						
		10,52	12,52	14,52	16,52	18,52	20,52	22,52
WACC	5,82 %	185,22	209,46	233,70	257,95	282,19	306,43	330,68
	6,82 %	174,74	197,43	220,13	242,83	265,53	288,23	310,92
	7,82 %	164,97	186,23	207,50	228,76	250,03	271,29	292,56
	8,82 %	155,86	175,80	195,73	215,67	235,60	255,53	275,47
	9,82 %	147,37	166,07	184,76	203,46	222,16	240,86	259,55
	10,82 %	139,44	156,98	174,53	192,08	209,63	227,18	244,72
	11,82 %	132,02	148,50	164,98	181,46	197,94	214,42	230,89

DCF quality metrics

Revenue CAGR	8,53 %
Free cash flow CAGR	10,23 %
Terminal value % of EV	76 %
WACC - Terminal Growth	6,32 %

Model health checks

2026F	2027F	2028F	2029F	2030F	2031F
Balance sheet balances?					
Yes	Yes	Yes	Yes	Yes	Yes
Cash flow reconciles?					
Yes	Yes	Yes	Yes	Yes	Yes

Inputs

Drivers

	2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	term
Bull case										
Revenue growth %	(2,80 %)	2,02 %	6,43 %	7,40 %	7,80 %	8,20 %	8,50 %	9,00 %	9,15 %	2,50 %
Bear case				4,50 %	3,20 %	2,80 %	1,50 %	0,80 %	0,10 %	
Base case				5,71 %	5,00 %	4,71 %	4,45 %	4,27 %	4,20 %	
Bull case				7,40 %	7,80 %	8,20 %	8,50 %	9,00 %	9,15 %	

More about revenue forecast on the input calc tab

Assumptions

Research & Development % of revenue	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %	8,00 %
SG&A % of revenue	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %	7,00 %
Gross margin %	43,30 %	46,20 %	46,90 %	47,30 %	47,90 %	48,40 %	49,00 %	50,40 %	50,90 %	51,00 %
Days in year	365	365	365	365	365	365	365	365	365	365
Accounts payable (days)	107	120	115	115	115	115	115	115	115	115
Account receivable (days)	28	31	35	32	32	32	32	32	32	32
inventory (days)	11	13	9	9	9	9	9	9	9	9
D&A % of revenue	2,80 %									
Capital expenditure % of revenue	3,00 %									
	15,50 %									
Divident yearly growth %	1,30 %									
Buybacks of common stock per year	100 000									

Any forecast line shown in blue font on the Model tab indicates that the item has either been held constant at the latest historical year's value, set to zero, or estimated based on a specific assumption.

Valuation assumptions

Terminal growth rate	2,50 %
Shares outstanding	14 860
current share price	\$271,00
EV / EBITDA multiple	16,52x
Valuation date	1.1.2026
WACC	8,82 %

EV / EBITDA multiple is based on a trading comps analysis

WACC is derived using a CAPM-based framework. For flexibility, the model incorporates a beta toggle, enabling to switch between the company's historical beta and a calculated beta.

toggle, enabling to switch between the company's historical beta and a calculated beta.

WACC

Risk-free rate	4,36 %
Equity risk premium	4,24 %

Calculated beta = Industry unlevered beta x (1+ (D/E) x (1 - tax rate))

Industry unlevered beta	0,83
Debt	291 (Billions of dollars)
Market cap	4 032 (Billions of dollars)
D/E	0,072
tax rate	15,50 %

Calculated beta	0,88
Historical beta	1,07

Beta used in the model	1,07
------------------------	------

Sources

Damodaran

Damodaran

macrotrends

macrotrends

this model

Yahoo finance

beta switch:

Historical beta



Cost of equity	8,90 %
Cost of debt	5,01 %

alphaspread

Weight of debt	1,98 %
weight of equity	98,02 %

alphaspread

alphaspread

WACC	8,82 %
------	--------

Exit Multiple - Comparable analysis

	EV / EBITDA
Microsoft Corporation	22,52x
Alphabet Inc.	24,81x
Samsung Electronics Co.	10,92x
Sony Group Corporation	7,14x
Amazon.com	17,20x

Source: stockanalysis.com
Multiples based on latest reported fiscal year.

Average	16,52x
Median	17,20x
Minimum	7,14x
Maximum	24,81x

Multiple used in the model	16,52x
----------------------------	--------

3-statement model

Income Statement

All figures in USD millions unless stated	2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	term
---	------	------	------	-------	-------	-------	-------	-------	-------	------

Bull case

[illegible]

revenue	383 285	391 035	416 161	446 957	481 820	521 329	565 642	616 549	672 964	689 788
COGS	(214 137)	(210 352)	(220 960)	(235 546)	(251 028)	(269 006)	(288 477)	(305 809)	(330 425)	(337 996)
Gross profit	169 148	180 683	195 201	211 411	230 792	252 323	277 164	310 741	342 539	351 792

Operating expenses: _____

Research and development	(29 915)	(31 370)	(34 550)	(35 757)	(38 546)	(41 706)	(45 251)	(49 324)	(53 837)	(55 183)
Selling, general and administrative	(24 932)	(26 097)	(27 601)	(31 287)	(33 727)	(36 493)	(39 595)	(43 158)	(47 107)	(48 285)
Total	(54 847)	(57 467)	(62 151)	(67 044)	(72 273)	(78 199)	(84 846)	(92 482)	(100 945)	(103 468)

114 301	123 216	133 050	144 367	158 519	174 124	192 318	218 259	241 594	248 324
---------	---------	---------	---------	---------	---------	---------	---------	---------	---------

Other income/(expense), net	(565)	269	(321)	0	0	0	0	0	0	0
-----------------------------	-------	-----	-------	---	---	---	---	---	---	---

Income before provision for taxes	113 736	123 485	132 729	144 367	158 519	174 124	192 318	218 259	241 594	248 324
-----------------------------------	---------	---------	---------	---------	---------	---------	---------	---------	---------	---------

Provision for income taxes	(16 741)	(29 749)	(20 719)	(22 377)	(24 570)	(26 989)	(29 809)	(33 830)	(37 447)	(38 490)
----------------------------	----------	----------	----------	----------	----------	----------	----------	----------	----------	----------

Net income	96 995	93 736	112 010	121 990	133 948	147 135	162 509	184 428	204 147	209 833
------------	--------	--------	---------	---------	---------	---------	---------	---------	---------	---------

Balance Sheet

All figures in USD millions unless stated	2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	term
---	------	------	------	-------	-------	-------	-------	-------	-------	------

Assets

Current assets

Cash and cash equivalents	29 965	29 943	35 934	46 264	64 863	96 682	143 591	210 907	299 247	392 924
Marketable securities	31 590	35 228	18 763	18 763	18 763	18 763	18 763	18 763	18 763	18 763
Accounts receivable, net	29 508	33 410	39 777	39 185	42 242	45 706	49 591	54 054	59 000	60 475
Inventories	6 331	7 286	5 718	5 808	6 190	6 633	7 113	7 540	8 147	8 334
Other current assets	46 172	47 120	47 765	47 765	47 765	47 765	47 765	47 765	47 765	47 765
Total current assets	143 566	152 987	147 957	157 785	179 823	215 549	266 823	339 029	432 922	528 261

Non-current assets

Property, plant and equipment, net	43 715	45 680	49 834	50 728	51 692	52 734	53 865	55 099	56 445	56 445
Other non-current assets	165 302	166 313	161 450	161 450	161 450	161 450	161 450	161 450	161 450	161 450
Total non-current assets	209 017	211 993	211 284	212 178	213 142	214 184	215 315	216 549	217 895	217 895

Total assets	352 583	364 980	359 241	369 963	392 964	429 733	482 138	555 577	650 816	746 155
---------------------	---------	---------	---------	---------	---------	---------	---------	---------	---------	---------

Liabilities

Current liabilities	
---------------------	--

Accounts payable	62 611	68 960	69 860	74 213	79 091	84 755	90 890	96 351	104 107	106 492
Other current liabilities	66 890	86 553	75 442	75 442	75 442	75 442	75 442	75 442	75 442	75 442
Current portion of debt	15 807	20 879	20 329	20 329	20 329	20 329	20 329	20 329	20 329	20 329
Total current liabilities	145 308	176 392	165 631	169 984	174 862	180 526	186 661	192 122	199 878	202 263

Non-current liabilities	
--------------------------------	--

[illegible]

Total liabilities	290 437	308 030	285 508	289 861	294 739	300 403	306 538	311 999	319 755	322 140
--------------------------	---------	---------	---------	---------	---------	---------	---------	---------	---------	---------

Shareholders equity

Common stock & APIC	73 812	83 276	93 568	93 568	93 568	93 568	93 568	93 568	93 568	93 568
Retained earnings	(214)	(19 154)	(14 264)	(7 895)	10 228	41 333	87 603	155 582	243 065	336 018
Accumulated other comprehensive loss	(11 452)	(7 172)	(5 571)	(5 571)	(5 571)	(5 571)	(5 571)	(5 571)	(5 571)	(5 571)
Total shareholders equity	62 146	56 950	73 733	80 102	98 225	129 330	175 600	243 579	331 062	424 015

Total liabilities and shareholders equity	352 583	364 980	359 241	369 963	392 964	429 733	482 138	555 577	650 816	746 155
---	---------	---------	---------	---------	---------	---------	---------	---------	---------	---------

[illegible]

Cash flow statement

All figures in USD millions unless stated

	2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	term
Operating activities										
Net income	96 995	93 736	112 010	121 990	133 948	147 135	162 509	184 428	204 147	209 833
Depreciation and amortization	11 519	11 445	11 698	12 515	13 491	14 597	15 838	17 263	18 843	19 314
Other	8 606	9 422	12 774	0	0	0	0	0	0	0
Changes in operating assets and liabilities										
Account receivable	(1 688)	(3 788)	(6 682)	592	(3 056)	(3 464)	(3 885)	(4 463)	(4 946)	(14 751)
Inventories	(1 618)	(1 046)	1 400	(90)	(382)	(443)	(480)	(427)	(607)	(187)
Account payable	(1 889)	6 020	902	4 353	4 878	5 664	6 135	5 461	7 756	2 385
Other	(1 382)	2 465	(20 620)	0	0	0	0	0	0	0
Cash generated by operating activities	110 543	118 254	111 482	139 360	148 879	163 489	180 117	202 262	225 193	229 871
Investing activities										
Property, plant and equipment	(10 959)	(9 447)	(12 715)	(13 409)	(14 455)	(15 640)	(16 969)	(18 496)	(20 189)	(19 314)
Other	14 664	12 382	27 910	0	0	0	0	0	0	0
Cash generated by investing activities	3 705	2 935	15 195	(13 409)	(14 455)	(15 640)	(16 969)	(18 496)	(20 189)	(19 314)
Financing activities										
Payments for dividends	(15 025)	(15 234)	(15 421)	(15 621)	(15 825)	(16 030)	(16 239)	(16 450)	(16 664)	(16 880)
Repurchases of common stock	(77 550)	(94 949)	(90 711)	(100 000)	(100 000)	(100 000)	(100 000)	(100 000)	(100 000)	(100 000)
Other	(15 913)	(11 800)	(14 554)	0	0	0	0	0	0	0
Cash used in financing activities	(108 488)	(121 983)	(120 686)	(115 621)	(115 825)	(116 030)	(116 239)	(116 450)	(116 664)	(116 880)
Cash balance										
Beginning	24 977	30 737	29 943	35 934	46 264	64 863	96 682	143 591	210 907	299 247
Increase / Decrease	5 760	(794)	5 991	10 330	18 600	31 819	46 909	67 316	88 340	93 677
Ending	30 737	29 943	35 934	46 264	64 863	96 682	143 591	210 907	299 247	392 924

DCF model

UFCF schedule

All figures in USD millions unless stated

tax rate	15,50 %
----------	---------

	2026F	2027F	2028F	2029F	2030F	2031F	term
EBIT x (1 - tax rate)	121 990	133 948	147 135	162 509	184 428	204 147	209 833
D&A	12 515	13 491	14 597	15 838	17 263	18 843	19 314
Capex	(13 409)	(14 455)	(15 640)	(16 969)	(18 496)	(20 189)	(19 314)
Cash changes from working capital	4 855	1 440	1 757	1 770	570	2 203	724
UFCF	125 951	134 424	147 849	163 147	183 765	205 004	210 557
UFCF % of revenue	28,18 %	27,90 %	28,36 %	28,84 %	29,81 %	30,46 %	30,52 %

DCF schedule: Perpetuity method

All figures in USD millions unless stated

Terminal growth	2,50 %
WACC	8,82 %

	2026F	2027F	2028F	2029F	2030F	2031F	term
Discrete forecast	125 951	134 424	147 849	163 147	183 765	205 004	210 557
Terminal value							3 414 890
Total cash flow	125 951	134 424	147 849	163 147	183 765	205 004	3 625 447

Total debt	98 657
Cash & equivalents	35 934
Net debt:	62 723

Enterprise value	2 710 541
-------------------------	------------------

Discounted cash flow:	2 710 541
------------------------------	------------------

Enterprise value	2 710 541
Net debt	62 723
Equity value	2 647 818

Equity value	2 647 818
Shares outstanding	14 860
Equity value per share	\$/sh 178,18

Equity value per share	178,18
Current share price	271,00
Premium	52,09 %

DCF schedule: Multiple method

All figures in USD millions unless stated

EV / EBITDA multiple	16,52
WACC	8,82 %
Term EBITDA	267 638

	2026F	2027F	2028F	2029F	2030F	2031F	term
Discrete forecast	125 951	134 424	147 849	163 147	183 765	205 004	210 557
Terminal value							4 421 374
Total cash flow	125 951	134 424	147 849	163 147	183 765	205 004	4 631 932

Total debt	98 657
Cash & equivalents	35 934
Net debt:	62 723

Enterprise value	3 267 529
-------------------------	------------------

Discounted cash flow	3 267 529
-----------------------------	------------------

Enterprise value	3 267 529
Net debt	62 723
Equity value	3 204 806

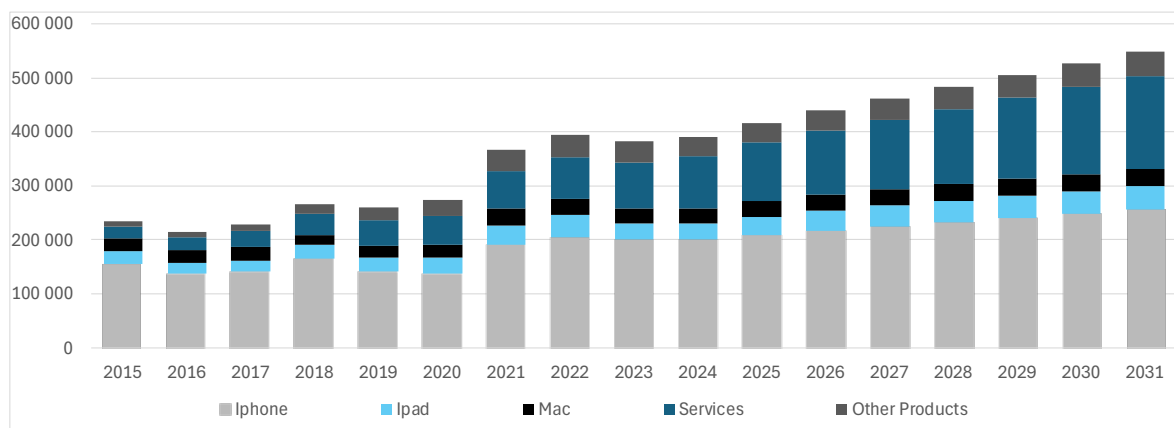
Equity value	3 204 806
Shares outstanding	14 860
Equity value per share	\$/sh 215,67

Equity value per share	215,67
Current share price	271,00
Premium	25,66 %

Supporting schedules & calculations

Revenue forecasts

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
Revenue growth %		-7,73 %	6,30 %	15,86 %	-2,04 %	5,51 %	33,26 %	7,79 %	-2,80 %	2,02 %	6,43 %	5,71 %	5,00 %	4,71 %	4,45 %	4,27 %	4,20 %
Iphone	155 041	136 700	141 319	164 888	142 381	137 781	191 973	205 489	200 583	201 183	209 586	217 557	225 159	232 760	240 361	247 963	255 564
Ipad	23 227	20 628	19 222	25 198	25 740	28 622	35 190	40 177	29 357	29 984	33 708	36 595	38 036	39 477	40 918	42 359	43 800
Mac	25 471	22 831	25 850	18 380	21 280	23 724	31 862	29 292	28 300	26 694	28 023	29 407	30 014	30 621	31 228	31 835	32 441
Services	19 909	24 348	29 980	39 748	46 291	53 768	68 425	78 129	85 200	96 169	109 158	119 424	129 696	139 969	150 242	160 514	170 787
Other Products	10 067	11 132	12 863	17 381	24 482	30 620	38 367	41 241	39 845	37 005	35 686	36 940	39 030	40 870	42 450	44 115	46 300
Total revenue	233 715	215 639	229 234	265 595	260 174	274 515	365 817	394 328	383 285	391 035	416 161	439 923	461 935	483 697	505 199	526 786	548 893
		-11,83 %	3,38 %	16,68 %	-13,65 %	-3,23 %	39,33 %	7,04 %	-2,39 %	0,30 %	4,18 %	3,80 %	3,49 %	3,38 %	3,27 %	3,16 %	3,07 %
Ipad																	
Growth %		-11,19 %	-6,82 %	31,09 %	2,15 %	11,20 %	22,95 %	14,17 %	-26,93 %	2,14 %	12,42 %	8,56 %	3,94 %	3,79 %	3,65 %	3,52 %	3,40 %
Mac																	
Growth %		-10,36 %	13,22 %	-28,90 %	15,78 %	11,48 %	34,30 %	-8,07 %	-3,39 %	-5,67 %	4,98 %	4,94 %	2,06 %	2,02 %	1,98 %	1,94 %	1,91 %
Services																	
Growth %		22,30 %	23,13 %	32,58 %	16,46 %	16,15 %	27,26 %	14,18 %	9,05 %	12,87 %	13,51 %	9,40 %	8,60 %	7,92 %	7,34 %	6,84 %	6,40 %
Other Products																	
Growth %		10,58 %	15,55 %	35,12 %	40,85 %	25,07 %	25,30 %	7,49 %	-3,38 %	-7,13 %	-3,56 %	3,51 %	5,66 %	4,71 %	3,87 %	3,92 %	4,95 %
Total																	
Growth %		-7,73 %	6,30 %	15,86 %	-2,04 %	5,51 %	33,26 %	7,79 %	-2,80 %	2,02 %	6,43 %	5,71 %	5,00 %	4,71 %	4,45 %	4,27 %	4,20 %



Revenue Scenarios

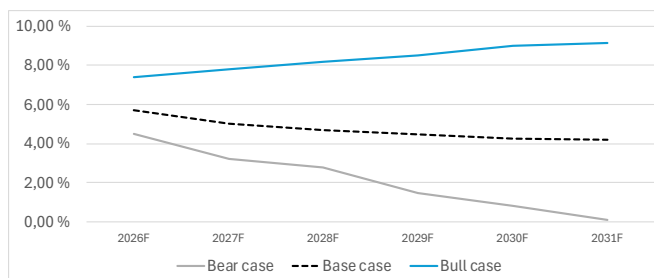
	2026F	2027F	2028F	2029F	2030F	2031F
Bear case	4,50 %	3,20 %	2,80 %	1,50 %	0,80 %	0,10 %
Base case	5,71 %	5,00 %	4,71 %	4,45 %	4,27 %	4,20 %
Bull case	7,40 %	7,80 %	8,20 %	8,50 %	9,00 %	9,15 %

For example

Bear case: China risks, regulatory pressure on services or shrinking iPhone market

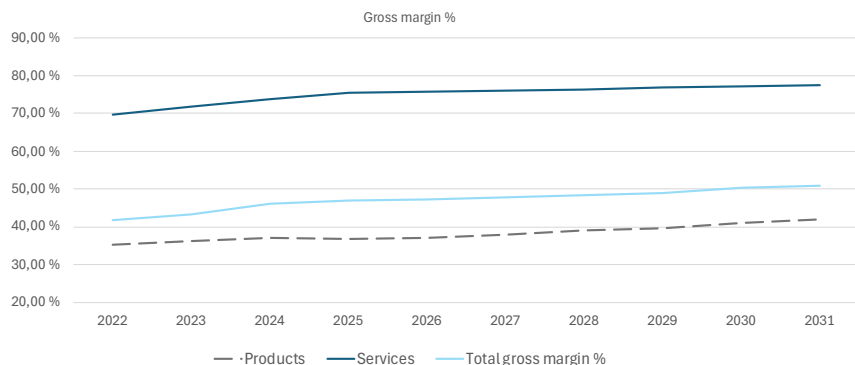
Base case: Historical trend continues, Services grow moderately

Bull case: AI-driven iPhone cycle, 30% of revenue, new product



Cost forecast

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
Revenue	233 715	215 639	229 234	265 595	260 174	274 515	365 817	394 328	383 285	391 035	416 161	439 923	461 935	483 697	505 199	526 786	548 893
Gross margin %																	
Products	-	-	-	34,40 %	32,20 %	31,50 %	31,50 %	35,30 %	36,30 %	37,20 %	36,80 %	37,20 %	37,90 %	39,00 %	39,60 %	41,10 %	42,00 %

[illegible]

Working capital schedule

All figures in USD millions unless stated

2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	term
------	------	------	-------	-------	-------	-------	-------	-------	------

Days in period	365	365	365	365	365	365	365	365	365	365
Revenue	383 285	391 035	416 161	446 957	481 820	521 329	565 642	616 549	672 964	689 788
COGS	214 137	210 352	220 960	235 546	251 028	269 006	288 477	305 809	330 425	337 996

Accounts payable (days)	107	120	115	115	115	115	115	115	115	115
Account receivable (days)	28	31	35	32	32	32	32	32	32	32
Inventory (days)	11	13	9	9	9	9	9	9	9	9

Accounts payable	62 611	68 960	69 860	74 213	79 091	84 755	90 890	96 351	104 107	106 492
Account receivable	29 508	33 410	39 777	39 185	42 242	45 706	49 591	54 054	59 000	60 475
Inventories	6 331	7 286	5 718	5 808	6 190	6 633	7 113	7 540	8 147	8 634

Cash changes

Accounts payable	6 349	900	4 353	4 878	5 664	6 135	5 461	7 756	2 385
Account receivable	(3 902)	(6 367)	592	(3 056)	(3 464)	(3 885)	(4 463)	(4 946)	(1 475)
Inventories	(955)	1 568	(90)	(382)	(443)	(480)	(427)	(607)	(187)
Cash from working capital	1 492	(3 899)	4 855	1 440	1 757	1 770	570	2 203	724

Asset schedule

All figures in USD millions unless stated

2023	2024	2025	2026F	2027F	2028F	2029F	2030F	2031F	term
------	------	------	-------	-------	-------	-------	-------	-------	------

Revenue	383 285	391 035	416 161	446 957	481 820	521 329	565 642	616 549	672 964	689 788
---------	---------	---------	---------	---------	---------	---------	---------	---------	---------	---------

PP&E	43 715	45 680	49 834	50 728	51 692	52 734	53 865	55 099	56 445	56 445
PP&E % of revenue	11.41 %	11.68 %	11.97 %	11.35 %	10.73 %	10.12 %	9.52 %	8.94 %	8.39 %	8.18 %

[illegible][illegible]